



Walmart Inc. - NasdaqGS:WMT
26/05/2026

Equity Research Report



Company Overview

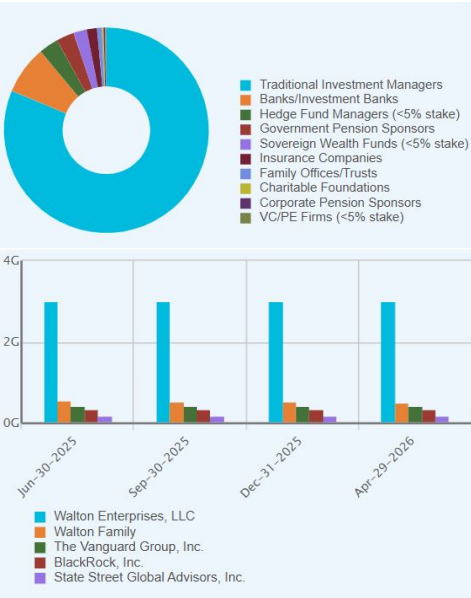
Company Highlights

- History:** Founded in 1962 in Rogers (Arkansas) by Sam Walton, Walmart is the world's largest retailer by revenue, operating 10,900 stores across 19 countries and serving 280 million customers weekly. The group has structurally evolved from a discount retailer into a tech-powered omnichannel platform under CEO Doug McMillon, with FY26 marking a strategic pivot to high-margin growth engines (advertising, marketplace, membership).
- Mission:** "Save people money so they can live better".
- Strategy:** FY26 inflection driven by global eCommerce (+24% in Q4, now 23% of net sales), Walmart Connect advertising (+41%), Vizio integration, and automation rollout across 650 store remodels in FY27.
- Corporate Finance:** 53rd consecutive year of dividend increases (from \$0.94 to \$0.99 annualized). FY26 operating cash flow of \$42bn supports \$20bn+ buyback authorization and 3.5% capex-to-sales reinvestment plan for FY27.

Valuation & Share Performance

Key Valuation Statistics			
Enterprise Value	\$1,100bn	Revenue (FY26)	\$713.2bn
Market Cap	\$1,036bn	EBITDA (FY26)	\$44.0bn
P/E	46.8x	EBITDA Margin '26	6.17%
EV/EBITDA	23.1x	Debt / EV	6.2%
Cash	\$10.73bn	Total Debt	\$68.43bn

Ownership

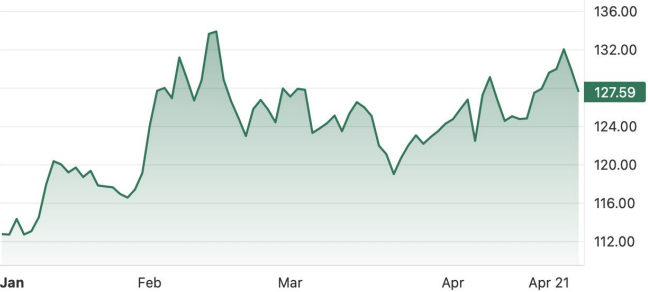


Revenue mix

Revenue Mix	%	Gross (bn)
Walmart U.S.	68.3%	\$126.0
Walmart International	18.1%	\$34.8
Sam's Club U.S.	13.6%	\$10.2

Industry Data	Median
Staples Consumer sector	
EV/EBITDA - 23.1x	13.2x
EV/Revenue - 1.5x	0.4x
P/E - 46.78x	21.2x

Share Price	Current: \$127.59	Low/High: \$91.89 / \$134.69
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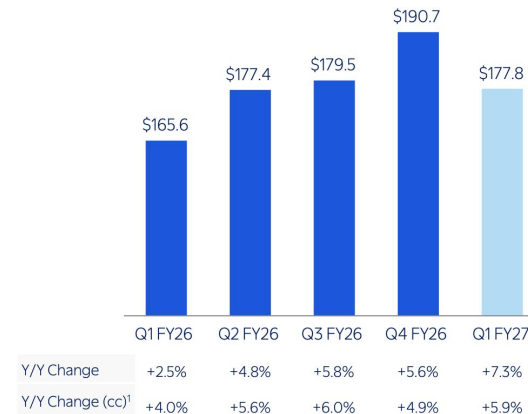
Walmart Business Model

Operational Segments

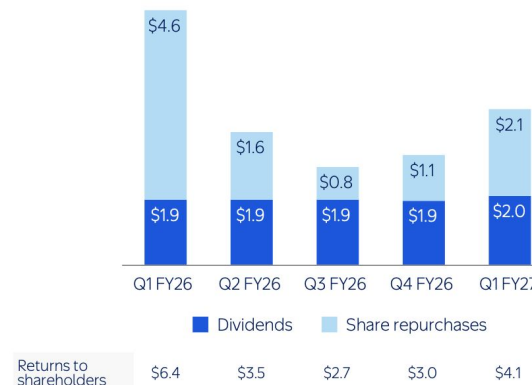
Walmart generates its revenue primarily through the sale of general merchandise and groceries across its store network, its membership-based warehouse model (Sam's Club), and its fast-growing ecosystem of digital and services businesses.

The group relies on three major operational pillars:

- Everyday Low Cost / Everyday Low Price (EDLC/EDLP) Model:** Walmart focuses on relentless cost discipline across its entire supply chain, from direct sourcing and private-label development to distribution center automation, passing savings directly to consumers in the form of permanently low prices without dependence on promotional cycles.
- Omnichannel scale and local fulfilment:** Operations are structured across three segments (Walmart U.S., Walmart International, Sam's Club) to balance the power of a global retail brand with hyper-local execution. With 4,600+ U.S. stores doubling as fulfilment hubs, Walmart delivers same-day capabilities that pure e-commerce rivals cannot replicate at comparable cost.
- Diversified revenue beyond retail:** Beyond core merchandise, Walmart is building high-margin businesses in advertising (Walmart Connect), healthcare, financial services and subscription membership (Walmart+), integrating AI across its supply chain and customer experience to accelerate margin expansion.



- Total revenues grew 7.3% to \$177.8 billion, up 5.9% (cc)¹ excluding a \$2.3 billion impact from currency fluctuations
- Net sales grew 5.7% (cc)¹ with strength across all segments
- Global eCommerce net sales grew 26%; representing 23% of total net sales
- Membership & other income grew 27.0%; reflecting 17.4% global growth in membership fee revenue as well as other income benefits from miscellaneous items



- Share repurchases during the quarter totaled \$2.1 billion representing 16.6 million shares, at an average price of \$125.51 per share
- Remaining share repurchase authorization is \$28.2 billion



Walmart Q1 earnings snapshot

\$177.8B

Total revenue

+7.3% YoY (+5.9% cc)

\$0.66

Adjusted EPS

+8.2% YoY

+26%

Global eCommerce

Advertising +37%

-7%

Stock on print day

Sold off from all-time high



What went right

- Broad-based share gains; comp sales +4.1%, transactions +3.0% (led by upper-income households)
- High-margin engines scaling fast: advertising +37%, membership fees +17.4%, marketplace momentum
- International strong at +10.1% cc; eCommerce +27% with digital mix up in every market
- Gross margin +6 bps; reported EPS +19.6% to \$0.67



Why the stock fell 7%

- Q2 EPS guide of \$0.72–\$0.74 came in below the \$0.75 consensus
- FY27 guidance left unchanged despite the Q1 beat, implies a softer second half
- Stock at all-time high (\$135) pre-print priced for perfection, profit-taking followed
- Free cash flow of \$1.9B (capex surge); fuel cost pressure guided to intensify in Q2

Reported 21 May 2026

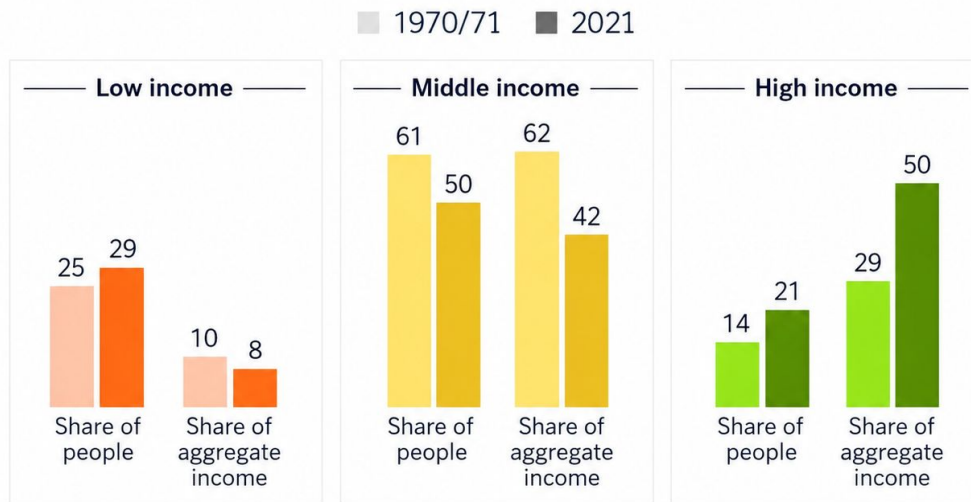


Industry Overview

○ Key factors

How America's Middle Class Is Shrinking

Share of people and aggregate income associated with U.S. income classes in 1970/71 and 2021 (in percent)



Middle income is defined as an annual household income between two thirds and double the national median income.

Source: Pew Research Center



Forbes statista

- **A barbell economy:** A gap is materializing between affluent households and “value seekers” (47% of global consumers), forcing brands to differentiate their pricing strategies.
- **Health and nutrition trends:** Growing demand for better nutrition is driving interest in fiber-enriched and functional foods. At the same time, rising protein consumption and “food as medicine” trends show that consumers increasingly prefer products with clear health benefits, such as improved digestion and energy.
- **Resilience of e-commerce:** E-commerce accounts for roughly 21% of global retail sales. This share has remained stable in recent years as online shopping continues to be driven by convenience and changing consumer habits.
- **Cost conscious consumption:** Rising living costs have reduced consumer purchasing power, leading many households to cut back on discretionary spending and prioritize essential goods.
- **Supply chain resilience:** Ongoing disruptions from geopolitical tensions and trade policies have made supply chains more unstable, with 68% of companies now identifying supply chain management as a top strategic priority. Walmart imports approximately one third of its U.S. merchandise, with 60% coming from China. However, the company has been prioritizing a shift towards domestic sourcing as part of its supply chain strategy.
- **Rise in synthetic inputs:** Companies are using synthetic/engineered inputs instead of traditional raw materials. This reduces their dependency on commodities and price volatility. This trend is primarily driven by operational efficiency rather than consumer health preferences.



Omnichannel Dominance (Walmart+ Ecosystem)

Advertising & Data Monetization (Walmart Connect)

International Growth & Supply Chain Leverage

- **E-commerce as a structural growth driver:** Walmart U.S. e-commerce grew +22% YoY in FY2025, now ranking #2 in U.S. online retail behind Amazon with 7% market share. While Walmart does not officially disclose e-commerce as a % of total revenue, the sustained +22% growth trajectory signals a structural pivot toward digital, layered on top of a \$465bn U.S. segment (+4.8% YoY).
- **Walmart+ drives measurable financial impact:** With an estimated 50M+ members, Walmart+ subscribers spend 2x more than non-members, directly supporting same-store sales growth of +4.9% in FY2025. The bundled proposition (free delivery, fuel savings, Paramount+) deepens retention and reinforces the omnichannel flywheel across all revenue streams.

- **Walmart Connect, the fastest-growing margin lever:** The retail media network reached \$3.4bn in FY2024 revenue, growing 30% YoY. As a high-margin, asset-light layer on top of existing traffic, it structurally lifts group EBIT and remains early-stage vs. Amazon's \$47bn ads business.
- **First-party data moat:** Purchase data from 255M weekly global customers enables closed-loop attribution increasingly valuable in a post-cookie environment. U.S. operating margin reached 5.1% in FY2025 (+23bp YoY), partly driven by this high-margin mix shift.

- **International outgrows the U.S.:** Walmart International generated \$123bn in FY2025 revenue (+6.3% YoY vs +4.8% for U.S.), representing 18% of group sales. Led by Walmex (Mexico & CA), the segment's operating income reached \$5.5bn with a 4.5% margin, expanding faster than the prior year.
- **Flipkart & PhonePe, hidden balance sheet upside:** Carried at conservative book value within the \$80bn International asset base, Flipkart and PhonePe represent a long-duration call option on India's digital consumption boom. A potential IPO would crystallize significant value not reflected in current WMT market cap.



Catalyst path

Horizon	Event catalyst	Expected impact
Q2 2026	Walmart Connect advertising scale-up	Walmart's retail media network surpassed \$3.4bn in FY2025, growing +30% YoY. In FY26, continued +37% growth driven by Vizio integration and first-party data monetization mechanically expands operating margins, since advertising revenue is near-pure-profit. This acts as a structural re-rating catalyst, compressing the perceived EV/Revenue multiple as high-margin revenue replaces low-margin merchandise sales.
Q3 2026	Walmart+ membership inflection	Members spend 2x more than non-members. A meaningful subscriber acceleration driven by healthcare perks, InHome delivery rollout, and the Paramount+ bundle would trigger a step-change in same-store sales and gross margin. Analysts closely watch net adds each quarter; a beat vs. consensus directly catalyzes a P/E multiple re-rating toward a platform-style premium.
Q3 2026	Interest rate cut cycle (Fed pivot)	As a large-capex operator carrying \$68bn in total debt, Walmart is highly sensitive to cost of capital. A Fed rate cut lowers refinancing costs and makes Walmart's 53-year dividend growth streak more attractive vs. fixed income. Historically, rate cuts trigger rotation into defensive yield compounders, driving multiple expansion for Walmart's P/E toward its 5-year high.
H2 2026	India optionality: Flipkart / PhonePe monetization event	Softbank values PhonePe at \$35bn representing 3.4% of Walmart's market cap currently unpriced by peers' models. Any IPO filing, secondary sale, or strategic partnership announcement would surface this hidden NAV, acting as an immediate catalyst for a 5-10% re-rating of the stock on a sum-of-the-parts basis.
Recurring	Automation & AI supply chain efficiency gains	Walmart's \$7bn+ FY26 capex in automation (650 store remodels, distribution center robotics) is expected to reduce fulfillment costs by 15-20%. As these savings compound into FY27-28 EPS, each quarterly beat above consensus will reinforce the narrative of Walmart as a tech-enabled platform, supporting sustained double-digit EPS growth and progressive multiple expansion.



Risks considerations

Risk Level	Risk Factor	Description & Impact Analysis
LOW	FX Headwinds on International Segment	Walmart International (18% of revenue) is exposed to currency fluctuations in Mexico (Walmex), China, India, and other markets. However, the impact is mitigated by natural hedges: local cost structures, pricing power, and dollar-denominated debt. A dollar strengthening scenario reduces reported revenue but does not materially affect local operating income.
MEDIUM	Tariff & Supply Chain Cost Inflation	With 60% of U.S. general merchandise sourced from Asia (particularly China), tariff escalations directly compress gross margins. Although Walmart partially offsets this through supplier negotiations and domestic sourcing diversification, a severe escalation (25%+ tariffs) could force price increases that risk volume loss and erode its EDLP competitive positioning.
MEDIUM	Walmart+ Subscriber Growth Stalling	The Walmart+ membership flywheel (higher basket, ad revenue uplift, healthcare cross-sell) is central to the re-rating thesis. If subscriber net adds disappoint due to weak value perception vs. Amazon Prime, the market would rapidly de-rate Walmart from a platform multiple back toward a traditional retailer EV/EBITDA of 13x, implying 40% downside to current prices.
HIGH	Amazon & E-Commerce Price Competition	Amazon's \$47bn advertising business and same-day delivery capabilities represent a structural competitive threat. Aggressive pricing on high-velocity SKUs or Amazon's expansion into grocery (Whole Foods, Amazon Fresh) could force Walmart to invest heavily to defend market share, putting pressure on operating margins and free cash flow generation simultaneously.
HIGH	Consumer Trade-Down in Economic Downturn	A severe U.S. recession could paradoxically hurt Walmart if upper-income households (its fastest-growing customer cohort driving basket-size expansion and ad monetization) retrench sharply. Additionally, the current valuation at 46.8x P/E leaves no margin of safety: a guidance cut or EPS miss (as demonstrated by the -7% post-Q1 reaction) would trigger a violent de-rating.



Price Target & Recommendation

Price Target		
Analysis	Price	Weight
Current price	\$120	20%
Brokers	\$137.80	20%
Comparables	\$87.21	30%
DCF	\$87.71	30%
Target Price	\$104.04	100%

We believe Walmart is currently overvalued compared to its peers and therefore a stock to monitor for our portfolio.

Our models show a downside risk from current levels, making it an unfavorable entry point.

However, an increase or an inflexion in spendings from US households in the near future can be a good moment to invest.

We will monitor the stock until an opportunity presents itself.